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Section 889 Policy

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Enacted

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President & CEO

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1. Objective

The objective of this policy is provide guidance to comply with [Section 889 under National Defense Authorization Act \(NDAA\)](#). This policy applies to all assistance and acquisitions with USG funds. [FAR clause 4.2102\(a\)\(2\)](#) applies to all federal contracts, and [2 CFR 200.471](#) and [2 CFR 200.216](#) applies to all grants and cooperative agreements, issued on or after August 13, 2020.

This policy establishes Partners of the Americas Inc. (Partners) commitment to ensuring that no telecommunications or video surveillance equipment or services sourced from prohibited Chinese companies, as specified in Section 889, are utilized within Partners operations. Compliance with this regulation is essential to maintaining the integrity of our work and in line with our responsibility as recipients of USG funding.

2. Definitions

1. **Backhaul** - means intermediate links between the core network, or backbone network, and the small subnetworks at the edge of the network (e.g., connecting cell phones/towers to the core telephone network). Backhaul can be wireless (e.g., microwave) or wired (e.g., fiber optic, coaxial cable, Ethernet).
2. **Covered foreign country** – means the People’s Republic of China.
3. **Covered telecommunication equipment or services** - as defined in [Pub. L. 115 - 232, Section 889](#), means any of the following:
 - i. Telecommunications equipment produced by Huawei Technologies Company or ZTE Corporation (or any subsidiary or affiliate of such entities).
 - ii. For the purpose of public safety, security of government facilities, physical security surveillance of critical infrastructure, and other national security purposes, video surveillance and telecommunications equipment produced by Hytera Communications Corporation, Hangzhou Hikvision Digital Technology Company, or Dahua Technology Company (or any subsidiary or affiliate of such entities).
 - iii. Telecommunications or video surveillance services provided by such entities or using such equipment.
 - iv. Telecommunications or video surveillance equipment or services produced or provided by an entity that the Secretary of Defense, in consultation with the Director of the National Intelligence or the Director of the Federal Bureau of Investigation, reasonably believes to be an entity owned or controlled by, or otherwise connected to, the government of a covered foreign country.
2. **Interconnection arrangements** - means arrangements governing the physical connection of two or more networks to allow the use of another’s network to hand off traffic where it



is ultimately delivered (e.g., connection of a customer of telephone provider A to a customer of telephone company B) or sharing data and other information resources.

3. **Reasonable inquiry** - an inquiry designed to uncover any information in the entity's possession about the identity of the producer or provider of covered telecommunications equipment or services used by the entity that excludes the need to include an internal or third party audit.
4. **Roaming** - cellular communications services (e.g., voice, video, data) received from a visited network when unable to connect to the facilities of the home network either because signal coverage is too weak or because traffic is too high.
5. **Substantial or essential component** - means any component necessary for the proper function or performance of a piece of equipment, system, or service.

3. Policy

Section 889(a)(1)(B), prohibits the Government from contracting with any entity that uses any equipment, system, or service that uses covered telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, on or after August 13, 2020, unless an exception applies or a waiver has been granted.

The prohibition applies to Partners use of covered equipment or services in its operations worldwide. If Partners uses any of the prohibited equipment or services at any level in its operations worldwide, it would not be eligible for a USG award without a waiver.

Recipients and subrecipients are prohibited from using grant funds, including direct and indirect costs, program income, and any cost share, for covered telecommunication equipment or services to:

1. Procure or obtain, extend or renew a contract to procure or obtain;
2. Enter into a contract (extend or renew a contract to procure; or
3. Obtain the equipment, services or systems.

Similar to other unallowable costs, covered telecommunications equipment and video surveillance services may not be charged either directly or indirectly under the award. If a recipient uses covered telecommunications equipment and video surveillance services and considers those costs to be indirect costs, the recipient is responsible for revising its indirect cost rate agreement and ensuring that these unallowable costs are removed from the base amount chargeable to its Federal award(s).

3.1 Exceptions to Section 889

The Section 889 very clearly prohibits the procurement or use of prohibited telecommunications equipment and services, however in some cases, a waiver may be provided, but there are only two exceptions.

1. The first exception allows government workers to procure services that rely on prohibited or covered equipment for specific reasons. Reasons include “backhaul,” “interconnection arrangements,” and “roaming.” These practices rely the least heavily on covered equipment. For example, backhaul is considered “intermediate links between the core network, or backbone network, and the small subnetworks at the edge of the network.”
2. The second exception states that covered equipment is allowed if, after review, it “cannot route user data traffic, redirect user data traffic, or permit visibility into any user data or packets that such equipment transmits or otherwise handles.”

Any exception approvals must be documented and submitted to the donor for prior approval, otherwise will be disallowed.

4. Section 889 Flow Down Requirements

Section 889 does flow down to both subrecipients (federal cooperative agreements and grants) and subcontractors (federal contracts). The section below show how the flow requirements affect second tier recipients.

4.1 Flow Down Requirements – Federal Contracts

For federal contracts, Section 889 of the NDAA applies to the prime contracts. The FAR requires the prohibition under section 889(a)(1)(A) to continue to flow down to all subcontractors; however, section 889(a)(1)(B) will not flow down because the prime contractor is the only “entity” that the agency “enters into a contract” with, and an agency does not directly “enter into a contract” with any subcontractor, at any tier.

The Subcontractors must address issues of compliance with the prime contractor. The prime contractor is responsible for submitting the representation of compliance on Section 889 to the Federal Agency which requires the prime contractor to verify the use of prohibited supplies/services in their supply chains worldwide.

The FAR representation FAR 52.204 - 24 does not flow down to subcontractors. However, the prime contractor’s representation includes examining relationships with any subcontractor or supplier for which the prime contractor has a Federal contract and uses the supplier or

subcontractor's "covered telecommunications" equipment or services as a substantial or essential component of any system. A reasonable inquiry is an inquiry designed to uncover any information in the entity's possession primarily documentation or other records about the identity of the producer or provider of covered telecommunications equipment or services used by the entity. A reasonable inquiry need not include an internal or third party audit.

4.2 Flow Down Requirements – Federal Cooperative Agreements and Grants

The requirements of [2 CFR 200.471](#) and [2 CFR 200.216](#) flow down to all subrecipients.

For USAID, the following clauses must be included in any subaward:

- US organizations, the standard provision [M1. Applicability of 2 CFR 200 and 2 CFR 700](#) states that the provisions of 2 CFR 200 apply to recipients and subrecipients.
- For non - US organizations, the standard provision [M29. Prohibition on Certain Telecommunication and Video Surveillance Services or Equipment](#) requires that the provision be included in subawards.

5. Inventory and Audits

Annually in accordance with [Partners Inventory Management Policy](#), a comprehensive inventory will be taken. From this list each Unit or Program Director/Chief of Party will need to review all of the telecommunications and video surveillance equipment and services used.

5.1 Audits of Covered Telecommunication Equipment or Services

For all items that fall under "covered telecommunication equipment or services" the Unit or Program Director/Chief of Party must assess these equipment or services and determine if they are sourced from prohibited companies listed in Section 889. If they are not sourced from prohibited companies, then they must signed the annual [Certification of Covered Telecommunication Equipment or Services](#). If it is found that some items were sourced from prohibited companies, the Unit or Program Director/Chief of Party must report the violation in accordance with [Section 7](#).

6. Procurement and Vetting for Telecommunication Equipment or Services

For any units or programs that plan to acquire telecommunication equipment or services, they must adhere to the standards of Section 889. The Unit or Program Director/Chief of Party will need to vet the supplier to ensure they do not supply prohibited equipment or services. If any doubts occur, the Compliance Team should be contacted to assist in the vetting process prior to the purchase.

6.1 Contractual Obligations

All Partners standard USG templates for contracts/agreements will include specific clauses that explicitly prohibit the use of covered equipment or services and require vendor compliance.

7. Reporting Violations

If any violations of this policy is found either through an annual inventory audit, vetting process or by other means, the Compliance Team must be contacted at compliance@partners.net. The Compliance Team will work with the Program or Unit Team to analyze the situation and determine the best course of action to resolve the issue of non-compliance.

8. Policy Updates

Regular reviews and updates of the policy will be conducted to align with any changes in Section 889 regulations or the identification of additional prohibited companies.